

stocks short until the market becomes "oversold" and is lower than conditions warrant. As soon as it occurs to the operators that they have done this, they all change their position and begin to buy, continuing until the market becomes "overbought," or higher than conditions warrant. The market, therefore, is very seldom at its logical point based on fundamental conditions; but is almost always above or below this point, based upon these technical conditions.

As to what these operators are to do, it is impossible for any one—even themselves—to foretell; but from a painstaking and systematic study of the tape it is often possible to tell what these operators are trying to do, and thus it is often possible to intelligently guess whether a break or a rally is next in order; but at best it can be only a guess. Of course I do not advise any one to study the market's technical condition for the purpose of trading in these movements; but to those who are bound to trade, I strongly recommend that they fortify themselves by a study of these movements and the technical conditions causing them.

Thirdly, there are the long swings extending over one or more years, caused by corresponding changes in fundamental conditions. These long swings may be compared to the movements of the tide. The ripples cannot be foretold in any way; the wave movements can only be guessed at; but the tide movements can be foretold with absolute accuracy. In the same way, students of fundamental conditions can tell whether the market is at high or low tide, or whether the tide is going out or coming in.

STUDY FINANCIAL CYCLES

All financial and industrial history has been divided into distinct cycles, and each cycle has consisted of four distinct periods of from two to four years. There is the period of business prosperity, during which the insiders liquidate and